

JSE SME CAPITAL MATCHING INITIATIVE

Funding Readiness Insights

Segmentation findings, tier-by-tier actions, and the case for capital partners

1,116

SMEs scored and ranked

245

Investor-ready, High tier

R10.30 bn

Total capital requested

26,506

New jobs promised

What the pipeline actually looks like

Every application was scored 0–100 on funding readiness, then grouped into three tiers

 HIGH TIER

245

22.0% of the application pool

Asks less, collectively, than it earns. The most credible projection of job growth in the pool, and the strongest transformation profile. Ready to present to investors now.

R3.24 bn ask · 11,436 jobs promised

 MID TIER

595

53.3% of the application pool

The largest tier, and the biggest job projection of the three. Genuine trading businesses whose gaps are correctable

R2.66 bn ask · 11,751 jobs promised

 LOW TIER

276

24.7% of the application pool

SMEs that are in their early stages of growth. Asks far beyond what they earn. This is a development pool for future rounds, not a rejection pile

R4.40 bn ask · 3,319 jobs promised

How every SME was scored

Four weighted pillars, drawn only from fields the application form already collects, summed to a single 0–100 Funding Readiness Score.

1	Revenue & Growth	30 weight	Reported turnover for 2023, 2024 and 2025, plus year-on-year movement
2	Jobs & Scale	25 weight	People already employed, plus the new jobs the business anticipates creating
3	Funding-Ask Viability	25 weight	The size of the capital funding ask relative to the revenue, plus completeness of the application
4	B-BBEE Transformation	20 weight	B-BBEE level plus Black, women, youth and disabled-person ownership

TIER THRESHOLDS

High	62 – 100
Mid	48 – 61
Low	0 – 47

THE FAIRNESS RULE

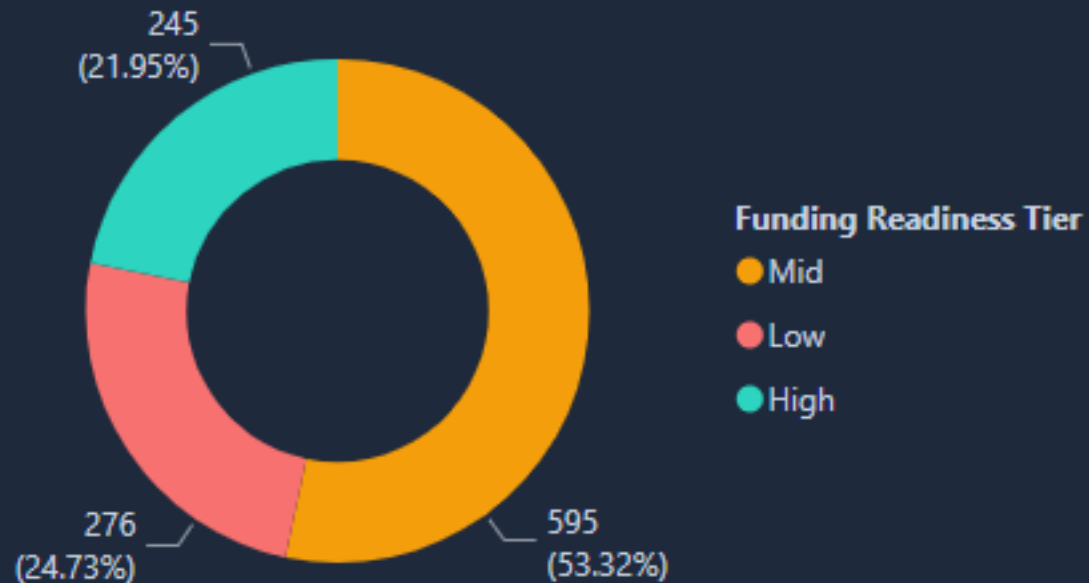
A missing answer scores neutral (0.5 points), never zero. No business is penalised for a gap the form itself created, which is why the Low tier is a group to be worked on, not a final assessment of their viability

The thresholds are fixed, so a tier keeps the same meaning when the next round of applications is scored.

The pipeline skews viable

Distribution of all 1,116 scored SMEs across the three funding-readiness tiers.

SMEs by Readiness Tier



High and Mid together — 840 businesses — outnumber the Low tier 3 to 1.

WHAT IT SHOWS

● A shortlist exists today

245 need no preparation. Prior rounds matched 90 businesses in 2023 and 190 in 2024 — those were completed matches; this is a ready shortlist.

● The middle is the real prize

At 53.3%, too large to work case by case. Only a batched process can move it.

● The bottom is defined, not lost

24.7% need remediation first. A finite, plannable workload.

The tiers are genuinely distinct

Average funding readiness score by tier — the separation is wide enough to act on.

Funding Readiness Tier	Total SMEs	Avg Readiness Score
High	245	68.5
Low	276	42.0
Mid	595	55.2
Total	1,116	54.8

26.5 points

separate the High tier average (68.5) from the Low tier average (42.0). These are not marginal distinctions.

54.8 / 100

is the pool average — it sits inside the Mid band, confirming that the typical applicant is a real business with fixable gaps.

13.2 points

separate the Mid tier average (55.2) from the Low tier average (42.0) — the gap the development programme has to close.

Ask versus revenue: the risk signal

Total capital requested against total revenue generated, by tier.

Total Funding Ask vs Revenue Made by Tier

● Total Funding Ask ● Total Revenue Made



WHAT IT SHOWS

● **High — asks 0.80× revenue**

R3.24 bn against R4.05 bn earned. The only tier asking less than it makes.

● **Mid — asks 1.50× revenue**

R2.66 bn against R1.77 bn. A growth ask, structurable with light right-sizing.

● **Low — asks 2.44× revenue**

R4.40 bn against R1.80 bn — 42.7% of the total ask on 23.6% of the revenue.

The job-creation promise

New jobs anticipated — as stated by applicants — against people already employed, by tier.



THE GROWTH CASE

● 26,506 promised

Against 9,049 already employed — a promise to roughly triple applicant employment.

● High is most credible

Promises 2.0× its headcount. Mid promises 4.4×, Low 4.8×.

● Mid is the biggest

11,751 jobs at R226k of ask per job — against R283k for High and R1.33m for Low.

Transformation is strong across every tier

Average B-BBEE transformation score by tier, out of a possible 20.



WHY IT MATTERS

● A two-point spread

15, 14 and 13 out of 20. Transformation qualifies the pool; it does not separate it.

● It is a mandate unlock

Every tier clears the bar most development financiers are required to apply.

● So it cannot be the filter

Tiering has to rest on revenue, scale and ask viability instead.

Ownership profile in detail

Average ownership percentages by tier, across the four transformation dimensions.

Funding Readiness Tier	Black Ownership %	Women Ownership %	Disability Ownership %	Youth Ownership %
High	95.40	48.86	6.98	42.56
Mid	92.32	47.79	4.04	44.98
Low	86.75	42.60	4.55	46.37
Total	91.61	46.74	4.81	44.80

91.6%

Black ownership

Exceptional and consistent — 95.4% in the High tier and still 86.8% in the Low.

46.7%

Women ownership

Close to parity across every tier — second only to Black ownership in the pool.

44.8%

Youth ownership

Highest in the Low tier (46.4%) — the youngest businesses are the youngest-owned.

4.8%

Disability ownership

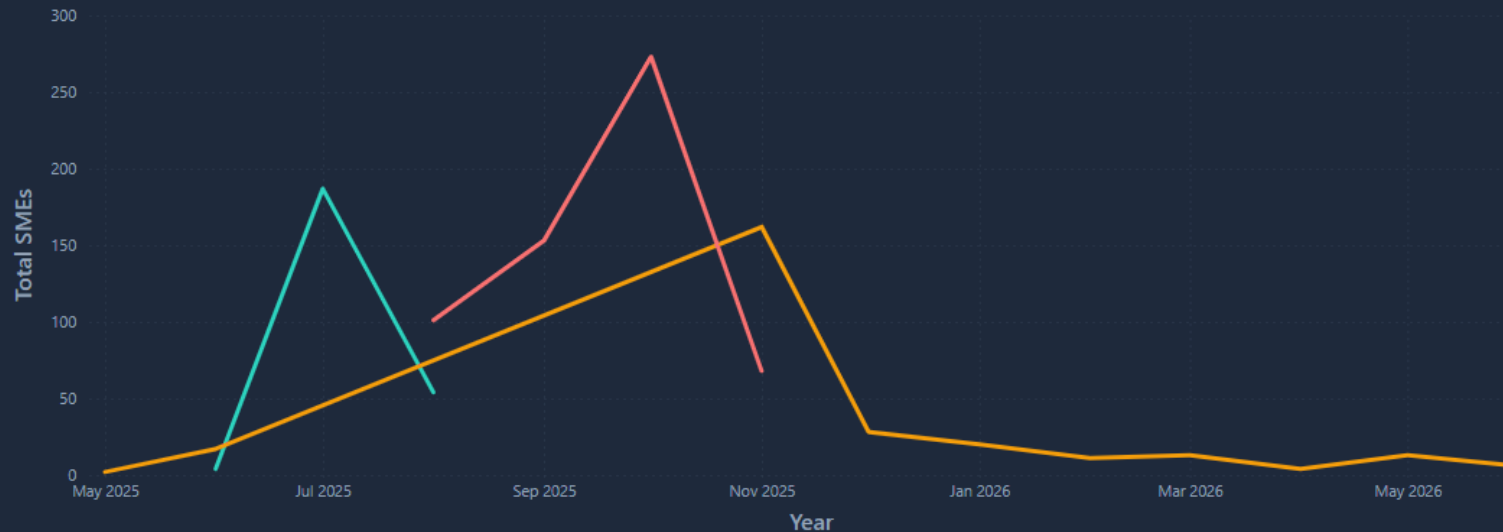
The one genuine gap. A targeted outreach opportunity for the next campaign round.

Volume swings; quality holds steady

Monthly applications across the campaign run, split by funding-readiness tier.

Applications Over Time (monthly)

Funding Readiness Tier ● High ● Low ● Mid



Investor-ready businesses arrived in every month of the campaign, not only in its opening quarter.

Two thirds of the High tier — 161 of 245 — applied from September 2025 onward. October alone produced 70, more than any other month.

THE PATTERN

● High — present all year

Peaks at 70 in October, ahead of 52 in July. Never absent in any month of the run.

● Mid — the volume engine

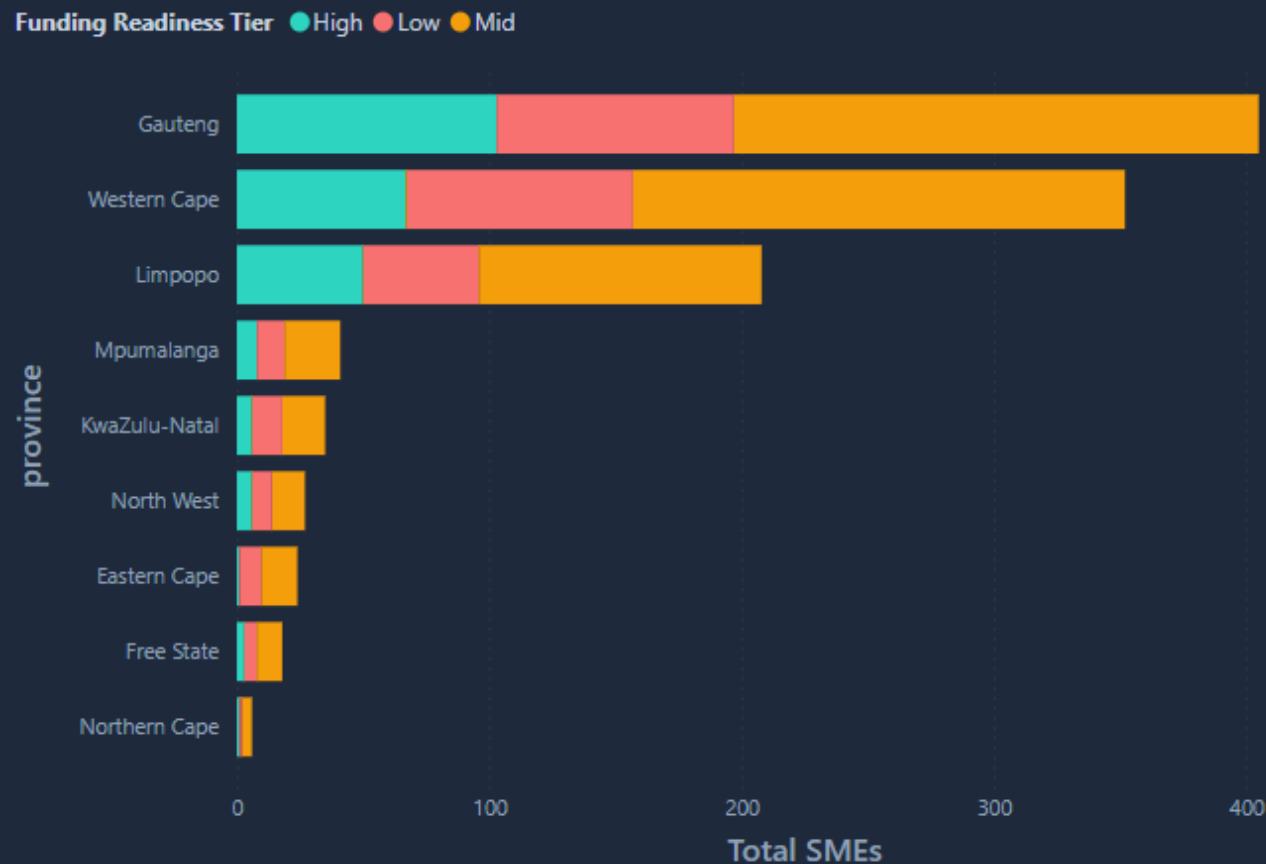
Peaks at 135 in October and is the largest tier in eleven of fourteen months.

● Low — moves with Mid

Peaks at 68 in October and November. Volume falls after November across all tiers alike.

Where the pipeline lives

Applications by province, split by funding-readiness tier.



CONCENTRATION

● Three provinces carry it

Gauteng, the Western Cape and Limpopo — and the same three dominate the High tier.

● That maps to live events

Exactly where the initiative ran in person in 2023 and 2024. Presence produced pipeline.

● Six provinces are absent

Mpumalanga down to the Northern Cape barely register. Six provinces the initiative has never visited in person.

Fund now: take 245 businesses to market this quarter

245

investor-ready businesses

THE POSITION

These require no preparation. They trade at scale, employ real people, hold the strongest transformation credentials in the pool, and — alone among the tiers — ask for less than they earn. The only thing standing between them and capital is an introduction.

Capital sought	R3.24 bn
Revenue generated	R4.05 bn
Ask-to-revenue	0.80×
Already employed	5,690

WHAT THE SME TEAM DOES

- 1 Package now, do not re-screen**
Build a one-page profile per business from fields already captured. Nothing further needs collecting (re-screening this tier only delays it)
- 2 Match to mandate, not to queue**
Sort by sector, province and transformation profile, then map each cluster to the funders whose mandate it fits. A B-BBEE-mandated development financier and a sector fund want different subsets.
- 3 Lead with the ratio**
The 0.80× ask-to-revenue figure is the strongest single argument in the pipeline. Put it on the first page of every pack.
- 4 Convert three into reference stories**
Prioritise the first closes for publicity. Each named deal is what recruits the next funder into the initiative.

Develop and re-score: the largest source of new deals

595

businesses, 53.3% of the pool

THE POSITION

Real trading businesses whose gaps are specific and correctable — usually an oversized ask or a few missing fields. They promise more jobs than any tier, at the best capital-to-jobs ratio in the pool. Rejecting them is the costliest option available.

Capital sought	R2.66 bn
Jobs promised	11,751
Cost per job	R226k
Avg readiness score	55.2

WHAT THE SME TEAM DOES

- 1 Run it as a programme, not a queue**
595 businesses cannot be worked case by case. Batch them by the gap that is holding them back — ask size, missing fields, weak growth evidence — and address each batch once.
- 2 Right-size the ask first**
At 1.50× revenue the average Mid-tier ask is close to fundable. A structured conversation about a realistic figure moves a large share of this tier over the threshold with no other change.
- 3 Target the 48–61 band from the top down**
Businesses scoring 58–61 need the least to reach the High tier. Work them first and re-score to book early wins.
- 4 Sell it on capital efficiency**
R226k of requested capital per promised job — the best ratio in the pool. For job-mandated funders this tier is a stronger story than the High tier.

Remediate: fix the ask before anyone sees the business

276

businesses needing remediation

THE POSITION

Two fixable problems, not two hundred: asks wildly out of proportion to trading history, and materially incomplete applications. Transformation credentials stay strong and youth ownership is the highest in the pool. These are young businesses, not bad ones.

Capital sought	R4.40 bn
Revenue generated	R1.80 bn
Ask-to-revenue	2.44×
Share of total ask	42.7%

WHAT THE SME TEAM DOES

- 1 Do not introduce them yet**

A 2.44× ask that a funder declines costs the initiative credibility it will need for the next introduction. Remediation is protective, not punitive.
- 2 Complete the data before anything else**

Much of the low score reflects missing fields rather than weak businesses. Direct engagement to fill the gaps will move some of this tier on data alone.
- 3 Recalibrate every ask, then re-score**

This tier requests R15.9m per business — more than the High tier — on a quarter of the revenue. Right-sizing is the single highest-leverage intervention available anywhere in the pipeline.
- 4 Hold them for the next round**

Re-scoring after support turns the model into a progress tracker. A business that moves Low to Mid between rounds is a measurable programme outcome.

Run the next round differently: timing and geography

Two structural findings change how the campaign itself should be operated, independent of any individual business.

TIMING

Quality arrives all year — match as you go

- High-tier businesses applied in all fourteen months. Two thirds of them — 161 of 245 — arrived from September 2025 onward, not in the opening quarter.
- Begin matching while applications are still open. Investor-ready businesses arrive every month, so waiting for the close holds up the majority of them.
- The High tier holds a steady 17–28% share of monthly volume. Total applications, not timing, decide how many investor-ready businesses a round yields.
- October produced more applications than any other month. Identify what drove that peak and repeat it deliberately.

GEOGRAPHY

Live events create pipeline; absence creates silence

- Gauteng, the Western Cape and Limpopo dominate the pool — the same three provinces that hosted in-person events in 2023 and 2024.
- Six provinces barely register. There are eligible businesses there; no one has been to find them.
- Run the next round's events in two under-represented provinces and measure application lift against the current baseline. That is a controlled, defensible test.
- Disability ownership sits at 4.8% pool-wide, the only weak transformation dimension. Build targeted outreach into the next round.

The campaign has already proved it can attract quality. It attracts that quality steadily but locally — so match as you go, and run the next round somewhere new.

HOW TO READ THIS

What the score does not tell you

The model is deliberately transparent, which means its limits should be read alongside its results.

IT IS NOT A CREDIT CHECK

Unverified

Every figure is what the applicant entered on the form. Nothing is checked against registries, financials or credit data, so a funder's own due diligence still follows.

Readiness, not credit risk

FINANCIALS COME AS BANDS

Approximate

The 2023 and 2024 revenue figures arrive as ranges, so the model uses representative midpoints. Precise enough to rank and tier, but an individual ratio is an estimate.

Reliable in aggregate

THE CUT-OFFS ARE CHOICES

Adjustable

The 30/25/25/20 pillar weights and the 62 and 48 tier thresholds encode a defensible view of readiness, not a fact about it. They sit in one place and can be re-tuned.

Re-tune on real outcomes

Blanks score neutral rather than zero, so the form's own gaps never penalise a business. The trade-off is that an incomplete application can resemble a merely modest one.

FOR CAPITAL PARTNERS

The investment case

A quantified, transformation-strong pipeline of 1,116 businesses — already sorted, so capital can be deployed against a mandate instead of a mailbox.

IF YOU WANT LOW RISK

245 businesses

R3.24 bn of requests against R4.05 bn of revenue, from employers of 5,690 people. The only cohort in the pool asking for less than it earns, and deployable with no further screening.

0.80× ask-to-revenue

IF YOU WANT JOBS

595 businesses

11,751 promised jobs — the largest of any tier — from genuine trading businesses making proportionate asks, at the most efficient capital-to-jobs ratio in the pipeline.

R226k of ask per promised job

IF YOU WANT IMPACT DEPTH

276 businesses

The youngest and most youth-owned cohort in the pool. Requires development capital and patience rather than growth funding, and builds the deal flow for future rounds.

46.4% youth ownership

Across all three tiers: 91.6% average Black ownership, 46.7% women ownership, and 26,506 jobs promised against 9,049 already created.